



2025 LABOR COST ANALYSIS & HR PROPOSAL

Corporate HR & Staffing Services Pitch | Tacos Gavilan 2025

TOTAL LABOR COST	TOTAL HOURS WORKED	TOTAL HEADCOUNT	OPERATIONAL DAYS
\$13.9 Million	~720,987	~491	363 / 365
\$13,901,655 USD	Reg + OT Hours	Includes Turnover	99.5% Annual Coverage

REGULAR SALARIES	OVERTIME PAYROLL	WEEKEND IMPACT	BLENDED AVG WAGE
\$11.32M	\$2.59M	51.7%	\$19.28/hr
81.4% of Total Labor	18.6% of Total Labor	Friday + Sat + Sun	Global Weighted Avg

Audit Period: January 1 to December 31, 2025 (365 Full Days Audited)
Data Integrity: 95,680 verified punch records analyzed line-by-line from Supabase / Toast API.
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365-DAY CONTINUITY AUDIT & FINANCIAL SPLIT

Daily Coverage Audit Results: An exhaustive day-by-day audit was performed for the entire calendar year 2025 (January 1 to December 31, 2025) across all 15 active store locations (5,475 store-days evaluated). The analysis confirms a **99.5% operational continuity** with only 2 annual holiday closure days:

Audit Metric	Audited Result	Operational Note
Calendar Days Evaluated	365 Days	Full year 2025 (Jan 1 – Dec 31)
Active Operating Days	363 Days (99.5%)	Continuous timecard punches across all 15 stores
Annual Closure Days	2 Days (0.5%)	Good Friday (April 18) & Christmas Day (Dec 25)
Unexplained Missing Days	0 Days (0.0%)	■ 100% Data Integrity. Zero missing gaps.

PAYROLL COST BREAKDOWN: REGULAR WAGES vs OVERTIME

The detailed financial split demonstrates that **18.6% of total labor cost (\$2.59 Million USD)** was spent on **Overtime (OT) payroll**. This represents the primary cost-saving opportunity for clients utilizing our HR management platform:

Payroll Component	Hours Worked	% Hours	Avg Rate	Total Annual Cost	% Total Cost
Regular Wages	626,996 hrs	87.0%	\$18.05 / hr	\$11,315,303 USD	81.4%
Overtime (OT 1.5x)	93,991 hrs	13.0%	\$27.52 / hr	\$2,586,352 USD	18.6%
TOTAL 2025 PAYROLL	720,987 hrs	100%	\$19.28 / hr	\$13,901,655 USD	100%

DAY OF THE WEEK LABOR DISTRIBUTION (WEEKEND IMPACT)

Day of the Week	Total Annual Cost	% Chain Labor	Avg Daily Chain Spend	Total Hours Worked
Sunday ■	\$2,422,324 USD	17.4%	\$46,583 / day	107,924 hrs
Monday	\$1,628,464 USD	11.7%	\$31,317 / day	88,677 hrs
Tuesday	\$1,706,161 USD	12.3%	\$32,811 / day	92,794 hrs
Wednesday	\$1,641,203 USD	11.8%	\$31,562 / day	89,832 hrs
Thursday	\$1,739,518 USD	12.5%	\$33,452 / day	93,686 hrs
Friday ■	\$2,309,432 USD	16.6%	\$44,412 / day	121,955 hrs
Saturday ■	\$2,454,554 USD	17.7%	\$47,203 / day	126,119 hrs

■ **Key Finding:** The 3 weekend days (Friday, Saturday, and Sunday) account for **51.7% (\$7.18 Million USD)** of total annual chain labor spend.

GLOBAL STAFFING MODEL BY POSITION (CHAIN-WIDE)

Integrated Operational Structure: All kitchen and preparation roles (*Cook, Prep, Preparador, and Taquero*) are combined into the single position title **COOK**. The table below presents chain-wide totals and per-store averages (across 15 active store locations):

■ **Turnover & Headcount Note:** Employee counts represent cumulative annual headcount (W-2 / Toast IDs) recording punches during 2025. These figures **reflect natural industry turnover** (hiring & departures throughout 12 months).

Integrated Position	Avg Emps / Store*	Chain Total	Annual Hours	Avg Wage	% OT	Annual Cost	% Cost
COOK	~16 emps / store	~235	~316,639 hrs	\$18.09/hr	13.8%	\$6.10 Millones (\$6,101,438 USD)	43.9%
CASHIER	~12 emps / store	~175	~202,895 hrs	\$16.97/hr	7.7%	\$3.61 Millones (\$3,611,717 USD)	26%
SHIFT LEADER	~5 emps / store	~73	~122,656 hrs	\$19.55/hr	16.8%	\$2.56 Millones (\$2,559,438 USD)	18.4%
ASST MANAGER	~3 emps / store	~41	~66,072 hrs	\$22.02/hr	18.4%	\$1.63 Millones (\$1,629,063 USD)	11.7%
TOTAL HOURLY STAFF	~36 emps per store	~491	~720,987 hrs	\$19.28/hr	~13.0%	\$13.9 Million (\$13,901,655 USD)	100%

* Per-store employee averages account for annual employee turnover (hiring & departures) over 12 months.

DETAILED BREAKDOWN BY STORE LOCATION (15 STORES)

Below is the exact staffing breakdown by position (**Cooks, Cashiers, Shift Leaders, and Asst Managers**), average hourly wage, and total annual labor spend for **each of the 15 active store locations** in 2025:

1. Store: LA Central Annual Total: \$1,630,067 USD (\$135,839 USD / mes) Headcount: 46 emps*					
Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	21 emps	37,039 hrs	\$20.00/hr	25%	\$740,772 USD
CASHIER	17 emps	26,130 hrs	\$18.44/hr	11%	\$481,825 USD
SHIFT LEADER	7 emps	13,577 hrs	\$21.60/hr	21%	\$293,297 USD
ASST MANAGER	3 emps	4,662 hrs	\$24.49/hr	25%	\$114,174 USD
STORE TOTAL	46 emps	81,408 hrs	\$20.02/hr	20%	\$1,630,067 USD
2. Store: Lynwood Annual Total: \$1,222,615 USD (\$101,885 USD / mes) Headcount: 45 emps*					
Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	22 emps	27,405 hrs	\$18.56/hr	16%	\$508,669 USD
CASHIER	17 emps	22,841 hrs	\$18.16/hr	7%	\$414,765 USD
SHIFT LEADER	9 emps	8,995 hrs	\$20.33/hr	16%	\$182,880 USD
ASST MANAGER	3 emps	4,911 hrs	\$23.68/hr	20%	\$116,302 USD
STORE TOTAL	45 emps	64,160 hrs	\$19.06/hr	13%	\$1,222,615 USD
3. Store: LA Broadway Annual Total: \$1,146,471 USD (\$95,539 USD / mes) Headcount: 36 emps*					
Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	18 emps	29,838 hrs	\$19.08/hr	13%	\$569,303 USD
CASHIER	9 emps	9,528 hrs	\$18.07/hr	7%	\$172,205 USD
SHIFT LEADER	6 emps	12,720 hrs	\$21.51/hr	18%	\$273,614 USD
ASST MANAGER	3 emps	5,302 hrs	\$24.77/hr	24%	\$131,349 USD
STORE TOTAL	36 emps	57,388 hrs	\$19.98/hr	14%	\$1,146,471 USD
4. Store: Norwalk Annual Total: \$1,096,911 USD (\$91,409 USD / mes) Headcount: 34 emps*					
Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	18 emps	28,204 hrs	\$18.19/hr	14%	\$513,110 USD
CASHIER	10 emps	15,263 hrs	\$15.44/hr	12%	\$235,687 USD
SHIFT LEADER	6 emps	12,650 hrs	\$20.85/hr	23%	\$263,718 USD
ASST MANAGER	3 emps	4,264 hrs	\$19.79/hr	20%	\$84,397 USD
STORE TOTAL	34 emps	60,382 hrs	\$18.17/hr	16%	\$1,096,911 USD

5. Store: South Gate | Annual Total: \$1,007,248 USD (\$83,937 USD / mes) | Headcount: 29 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	17 emps	26,857 hrs	\$19.39/hr	10%	\$520,880 USD
CASHIER	8 emps	14,225 hrs	\$18.93/hr	4%	\$269,278 USD
SHIFT LEADER	2 emps	4,752 hrs	\$23.23/hr	15%	\$110,414 USD
ASST MANAGER	2 emps	4,323 hrs	\$24.68/hr	8%	\$106,674 USD
STORE TOTAL	29 emps	50,157 hrs	\$20.08/hr	8%	\$1,007,248 USD

6. Store: Rialto | Annual Total: \$972,435 USD (\$81,036 USD / mes) | Headcount: 30 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	15 emps	22,645 hrs	\$18.29/hr	11%	\$414,117 USD
CASHIER	10 emps	16,311 hrs	\$17.70/hr	5%	\$288,788 USD
SHIFT LEADER	3 emps	7,292 hrs	\$21.41/hr	16%	\$156,105 USD
ASST MANAGER	2 emps	4,768 hrs	\$23.79/hr	14%	\$113,425 USD
STORE TOTAL	30 emps	51,016 hrs	\$19.06/hr	10%	\$972,435 USD

7. Store: West Covina | Annual Total: \$958,521 USD (\$79,877 USD / mes) | Headcount: 29 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	14 emps	27,145 hrs	\$18.72/hr	14%	\$508,136 USD
CASHIER	11 emps	12,910 hrs	\$18.10/hr	9%	\$233,618 USD
SHIFT LEADER	2 emps	4,721 hrs	\$20.20/hr	17%	\$95,361 USD
ASST MANAGER	2 emps	5,165 hrs	\$23.50/hr	22%	\$121,406 USD
STORE TOTAL	29 emps	49,942 hrs	\$19.19/hr	14%	\$958,521 USD

8. Store: Downey | Annual Total: \$953,595 USD (\$79,466 USD / mes) | Headcount: 36 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	20 emps	29,959 hrs	\$19.24/hr	12%	\$576,316 USD
CASHIER	13 emps	14,895 hrs	\$17.77/hr	4%	\$264,662 USD
SHIFT LEADER	0 emps	0 hrs	\$0.00/hr	0%	\$0 USD
ASST MANAGER	4 emps	6,958 hrs	\$16.18/hr	18%	\$112,616 USD
STORE TOTAL	36 emps	51,845 hrs	\$18.39/hr	10%	\$953,595 USD

9. Store: Slauson | Annual Total: \$904,484 USD (\$75,374 USD / mes) | Headcount: 38 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	16 emps	18,854 hrs	\$18.84/hr	10%	\$355,114 USD
CASHIER	17 emps	15,706 hrs	\$18.12/hr	7%	\$284,657 USD
SHIFT LEADER	5 emps	6,296 hrs	\$20.28/hr	16%	\$127,686 USD
ASST MANAGER	2 emps	5,435 hrs	\$25.21/hr	26%	\$137,028 USD
STORE TOTAL	38 emps	46,376 hrs	\$19.50/hr	12%	\$904,484 USD

10. Store: Hollywood | Annual Total: \$813,463 USD (\$67,789 USD / mes) | Headcount: 27 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	15 emps	19,671 hrs	\$18.97/hr	16%	\$373,150 USD
CASHIER	8 emps	8,947 hrs	\$18.47/hr	12%	\$165,269 USD
SHIFT LEADER	4 emps	7,919 hrs	\$21.36/hr	17%	\$169,168 USD
ASST MANAGER	2 emps	4,683 hrs	\$22.61/hr	15%	\$105,877 USD
STORE TOTAL	27 emps	41,233 hrs	\$19.73/hr	15%	\$813,463 USD

11. Store: Santa Ana | Annual Total: \$761,136 USD (\$63,428 USD / mes) | Headcount: 32 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	13 emps	14,068 hrs	\$18.05/hr	9%	\$253,924 USD
CASHIER	12 emps	8,640 hrs	\$16.59/hr	6%	\$143,355 USD
SHIFT LEADER	7 emps	12,433 hrs	\$20.48/hr	15%	\$254,614 USD
ASST MANAGER	2 emps	4,730 hrs	\$23.09/hr	15%	\$109,243 USD
STORE TOTAL	32 emps	39,933 hrs	\$19.06/hr	11%	\$761,136 USD

12. Store: Huntington Park | Annual Total: \$703,926 USD (\$58,660 USD / mes) | Headcount: 25 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	7 emps	11,026 hrs	\$18.47/hr	18%	\$203,595 USD
CASHIER	11 emps	12,276 hrs	\$18.06/hr	9%	\$221,693 USD
SHIFT LEADER	7 emps	7,639 hrs	\$20.62/hr	17%	\$157,480 USD
ASST MANAGER	3 emps	4,986 hrs	\$24.30/hr	20%	\$121,158 USD
STORE TOTAL	25 emps	35,927 hrs	\$19.59/hr	15%	\$703,926 USD

13. Store: La Puente | Annual Total: \$664,846 USD (\$55,404 USD / mes) | Headcount: 33 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	15 emps	11,653 hrs	\$19.39/hr	11%	\$225,924 USD
CASHIER	11 emps	7,328 hrs	\$18.26/hr	6%	\$133,807 USD
SHIFT LEADER	6 emps	9,412 hrs	\$21.61/hr	12%	\$203,409 USD
ASST MANAGER	5 emps	4,358 hrs	\$23.34/hr	15%	\$101,705 USD
STORE TOTAL	33 emps	32,751 hrs	\$20.30/hr	11%	\$664,846 USD

14. Store: Azusa | Annual Total: \$548,080 USD (\$45,673 USD / mes) | Headcount: 31 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	20 emps	13,821 hrs	\$17.74/hr	7%	\$245,183 USD
CASHIER	11 emps	10,852 hrs	\$16.91/hr	8%	\$183,500 USD
SHIFT LEADER	4 emps	4,087 hrs	\$18.39/hr	17%	\$75,164 USD
ASST MANAGER	2 emps	1,952 hrs	\$22.66/hr	21%	\$44,234 USD
STORE TOTAL	31 emps	30,723 hrs	\$17.84/hr	10%	\$548,080 USD

15. Store: Bell | Annual Total: \$517,856 USD (\$43,155 USD / mes) | Headcount: 20 emps*

Position Title	Cumulative Emps*	Annual Hours	Avg Wage	% OT	Total Annual Cost
COOK	4 emps	5,532 hrs	\$16.85/hr	1%	\$93,245 USD
CASHIER	9 emps	7,043 hrs	\$16.84/hr	3%	\$118,607 USD
SHIFT LEADER	5 emps	10,162 hrs	\$19.34/hr	11%	\$196,528 USD
ASST MANAGER	3 emps	5,009 hrs	\$21.85/hr	12%	\$109,476 USD
STORE TOTAL	20 emps	27,747 hrs	\$18.66/hr	7%	\$517,856 USD

SALARIED EXECUTIVE STRUCTURE & LOCAL WAGE REGULATIONS

1. Salaried Executive Leadership (Managers & Supervisors — Exempt)

In addition to hourly store personnel (~36 emps/store), each store operates under executive leadership. **Store Managers** (15 managers, 1 per location) and **Area Supervisors** (4 regional supervisors) operate under **fixed annual salary (Exempt Employees)** per California Labor Code & FLSA regulations. They accrue zero overtime (**0% OT**) and are managed under a **separate management fee structure**:

Leadership Position	Chain Headcount	Store Distribution	Overtime (OT)	HR Commercial Model
Store Manager (General Manager)	15 Managers	1 per location	0% OT (Exempt)	Fixed Management Fee %
Area Supervisor (Regional Supervisor)	4 Supervisors	1 per 3-4 locations	0% OT (Exempt)	Fixed Management Fee %

2. Municipal Minimum Wage Ordinances & Per-Store Adjustments

Hourly wage rates naturally vary by location according to California municipal minimum wage ordinances and store-level merit/tenure policies:

- Municipal Minimum Wage Laws:** Cities like Lynwood mandate a minimum wage of \$16.90/hr, whereas locations in Los Angeles City (Central, Broadway, Slauson) or West Hollywood operate under higher local minimum wage rates (\$17.28 – \$19.00/hr).
- Store-Level Merit & Tenure Raises:** Specific employees (e.g. senior cooks or head cashiers) earn rates above local minimums (\$18.50 – \$22.00/hr) based on tenure, night shifts, or performance.
- Turnover & Onboarding Automation:** The Tacos Gavilan HR platform handles hiring and departures (altas y bajas) automatically, ensuring exact payroll processing without overpayments or compliance lag.

OPERATIONAL ADVANTAGES OF OUR HR MANAGEMENT PLATFORM

Automated Meal & Rest Break Auditing: 100% compliance with CA Labor Code meal break laws, preventing costly 1-hour pay penalty violations.	Intelligent Overtime Control (OT Optimization): AI algorithm detects and rebalances shifts to reduce OT from 18.6% down to optimal 8-10%.
6 AM Business Day Rule Engine: Precise assignment of overnight timecards to correct business date for perfect financial reporting.	End-to-End Turnover & Onboarding Management: Centralized digital employee files, onboarding support, and turnkey departure processing.



Tacos Gavilan

Corporate HR & Payroll Management Services

365 Days	99.5%	\$2.59M	\$13.9M
Calendar 2025 Audited	Operational Continuity (363 Active Days)	Overtime Payroll (Savings Target)	Annual Payroll Managed

Commercial Proposal Document — Authorized Use Only
Audit Period: January 1 to December 31, 2025 (100% Audited)
Confirmed Annual Closures: Good Friday (April 18) & Christmas Day (December 25)
Generated: August 2026 | Tacos Gavilan Management System